Table 2.7: Indifference Schedule

Apple	*Oranges*	*Points*
1	20	R
2	15	S
3	12	T
4	10	U
5	9	V

Table has five combinations of two commodities Apple and Orange. Each of these combinations give the consumer the same level of satisfaction without discrimination. In the schedule, the combinations are arranged in such a way that the consumer is indifferent among the combinations. Hence, this schedule is called as, "Indifference Schedule". He will neither be better off nor worse off whichever combination he chooses.

2.11 An Indifference Curve

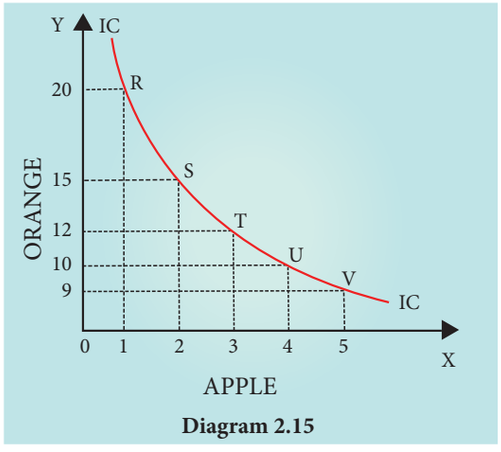


Diagram 2.15

Different combinations of two commodities (as found in Indifference Schedule) can be presented in a diagram. Then consumer gets different points and when such points are connected, a curve is obtained. The said curve is called as "Indifference Curve". Therefore, an indifference curve is the locus of all combinations of commodities from which the consumer derives the same level of satisfaction. It is also called "Iso-Utility Curve" or" Equal Satisfaction Curve". Indifference Curve is illustrated in diagram 2.15. X axis represents apple and Y axis represents orange. Point 'R' represents combination of 1 apple and 20 oranges, at 'S' 2 apples and 15 oranges and at 'T' 3 apples and 12 oranges. Similarly U,V points are obtained. These five points give the same level of satisfaction. The consumer will be neither better off nor worse off in choosing any one of these points. When one joins all these five points R, S, T, U, V one can get the Indifference Curve 'IC'.

2.12 An Indifference Map

One can draw several indifference curves each representing an indifference schedule. Hence, an Indifference Map is a family or collection or set of indifference curves corresponding to different levels of satisfaction. The Indifference Map is illustrated in Diagram 2.16.

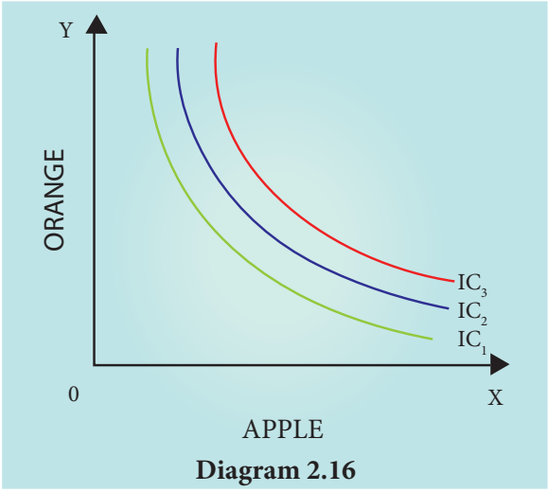


Diagram 2.16

Chapter-02.indd 44 20-02-2020 11:46:28